sustained rise in prices required the sale of gold and silver in India to combat inflation at least on the psychological front.[12] The price of gold rose from ₹35–10–3 per tola in 1938–39 to ₹80–3–0 in 1945–46. The average price of silver recorded a steady increase from ₹51–11–3 (per 100 tolas) to ₹135–1–11.

The Directors of the Central Board tried their best to augment the gold stocks of the bank. They did not succeed in this but their action prevented the drawing down of existing stocks. The Bank of England had begun buying gold in India on the eve of the war and exports increased from 1.36 million ounces in 1938–39 to 3.16 million ounces in 1939–40. Indian opinion had always been opposed to the sale of gold and with sterling accumulating at the rate it was, such exports made little sense. The Board led by the ever-vigilant Purshotamdas suggested an embargo on the export of gold but this was opposed by the Governor on the grounds that it would depress the price of gold in India![13] The Board countered this with the suggestion that the RBI should acquire gold with its sterling reserves at least in the Banking Department, where its valuation was not subject to any statutory provision.[14]

The British were unhappy at the suggestion and the Viceroy sent a personal message to Purshotamdas expressing that in his opinion any action to impede the outflow of gold would harm the war effort. Appeals were also received from the Bank of England and the British government. The Board was persuaded to defer the question after a written assurance was given that gold held by the bank in the Issue Department would not be touched by executive action, with executive action also covering the ordinance making power of the Governor General. It appears that the Board's suggestion to acquire more gold was a ruse to prevent any of the existing stocks being used to assist Britain in the war because a few months later, the Secretary of State sounded the Government of India about using the RBI's gold. The Government of India opposed the proposal and Whitehall did not press the issue.

In February 1943, (a little before Taylor's demise), the Secretary of State sounded the Government of India about gold sales to counter inflation and sought its views on using the RBI's gold for the purpose. Taylor was ill and Deshmukh after consulting with him told the government that any proposal for using the bank's gold would be 'violently resisted'[15] as the 'inevitable